reduced to 1 per cent; regarding clause (iii), Shah Line Company had revised the agreement to say that, in the event of at least five traders withdrawing from the agreement, Shah Line Company would cease operations. This was unacceptable given the existing penalty of Rs 500 every month on traders who did not use its steamers. S.V. argued that this clause was superfluous if the Shah Line Company was intent on running the steamers.[42]

It is evident that business was cutthroat and the trust between the two was all but lost. As a result of this bickering, the compact collapsed. (The suspicions of SSNCo about Shah Line Company were not unwarranted; in 1910, it sold out to BI.[43]) But the Swadeshi leaders reassured the public that the cessation of the Shah Line service did not mean the end of the Swadeshi concern, promising that '[i]n another two or three weeks we are certain that our own steamer will arrive in Tuticorin.'[44]

The bitter lessons learnt from the Shah Line Company experience, if anything, made it clear that until the Swadeshi concern acquired its own steamers it was at the mercy of the likes of Shah Line Company: though smaller, and Indian, they were no less ruthless than BI.

Given this precarious situation, VOC redoubled his efforts to buy the ships. In late October 1906, immediately after the registration of SSNCo, he left for Bombay to arrange for the purchase of steamers (see Chapter 4).[45]

Eddies and Whirlpools

As could be expected, it was not all plain sailing for the fledgling company. If handling an experienced and shrewd Bohra merchant was difficult enough, the British shipping behemoth was not taking the emerging competition lightly. Subramania Bharati's remark that newer and newer enemies were cropping up to crush the Swadeshi concern was therefore not far off the mark. The Swadeshi merchants, led from the front by VOC, had to soldier on in the face of adversities.[46]

Fearing the emergence of a credible rival to its business, BI tried every trick to scuttle the new venture. According to VOC, BI had already started